

Conclusion

Based on the above, Defendant's Motion for Summary Judgment is **granted**.

6. 9:00 AM CASE NUMBER: C24-01532

CASE NAME: LUIS DEL RIO ROSALES VS. WHOLESALE 209, LLC

***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION SETTLEMENT**

FILED BY: DEL RIO ROSALES, LUIS A.

TENTATIVE RULING:

Plaintiff Luis del Rio Rosales moves for preliminary approval of his class action and PAGA settlement with defendant Wholesale 209, LLC.

A. Background and Settlement Terms

The original complaint was filed by Plaintiff on June 12, 2024, raising PAGA claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. Plaintiff included class action claims based on similar allegations.

The settlement would create a gross settlement fund of \$375,000. The class representative payment to plaintiff would be \$7,500. Attorney's fees would be \$125,000 (33 1/3% of the settlement). Litigation costs would not exceed \$20,000. The settlement administrator's costs will not exceed \$2,900. PAGA penalties would be \$20,000, resulting in a payment of \$15,000 to the LWDA and \$5,000 to the aggrieved employees. The net amount paid directly to the class members would be about \$211,050 (NSF. The fund is non-reversionary. Based on the estimated class size of 88, the average net payment for each class member is approximately \$2,398.30. La Raza Centro Legal would be the *cy pres* recipient.

The proposed settlement would certify a class of all current and former hourly-paid or non-exempt employees employed by Defendant in California during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The Agreement provides that if the total value of uncashed settlement checks equals 20% or more of the NSF, the Settlement Administrator will conduct one second distribution on a proportional basis to participating Settlement Class Members who negotiated their initial checks. If the total value of uncashed checks is less than 20% of the NSF, the remaining balance will be distributed to the *cy pres* recipient. Any funds remaining unclaimed after the second distribution, if any, will also be distributed to *cy pres*.

The settlement contains release language covering all claims "arising out of the facts, circumstances,

and primary rights at issue in the LWDA Letter and the Complaint,” as well as claims that could have been asserted based on those pleaded facts. The limitation to those claims with the “same factual predicate” as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 [“A court cannot release claims that are outside the scope of the allegations of the complaint.” “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken. The matter settled after arms-length negotiations, which included two sessions with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include “stacking” of violations, the law may only allow application of the “initial violation” penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where “based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.”])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered

is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks 33 1/3% of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel are directed to prepare a lodestar fee estimate for the motion for final approval.

The reasonableness of litigation costs and the settlement administrator’s fees will be considered at final approval.

Similarly, the requested representative payment of \$7,500 for each plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

The Court finds that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval. The motion is granted.

Counsel are directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

7. 9:00 AM CASE NUMBER: C24-02677
CASE NAME: AMERICAN MLB FEDERAL INVESTMENTS VS. SHERI KELLEHER
HEARING ON DEMURRER TO: CROSS-COMPLAINT OF SHERI KELLEHER AND PAUL JONATHAN
FILED BY: SANDERS RANCH HOMEOWNERS ASSOCIATION
TENTATIVE RULING:

Before the Court are a demurrer and a motion to strike, filed by cross-defendant Sanders